

Shurgard SHUR

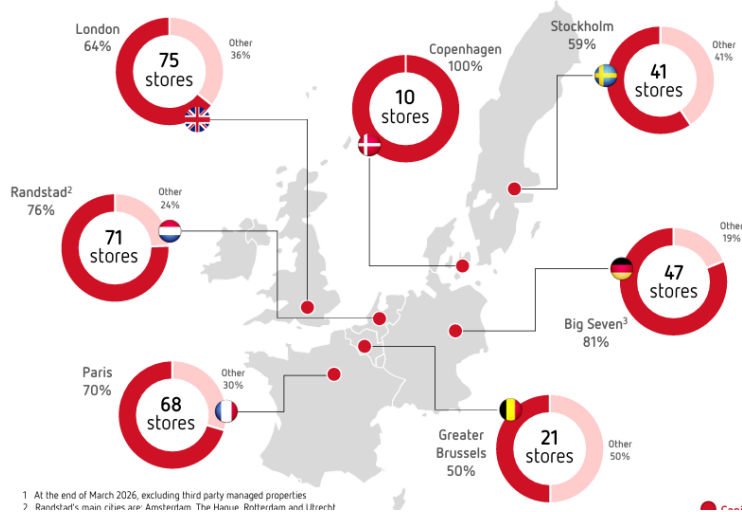
July 27, 2026 - 9:46pm EST
by

Rulon Gardner

			2026	2027
Price:	26.00	EPS	0	0
Shares Out. (in M):	101	P/E	0	0
Market Cap (in \$M):	2,615	P/FCF	0	0
Net Debt (in \$M):	1,644	EBIT	0	0
TEV (in \$M):	4,270	TEV/EBIT	0	0

Description

Shurgard is an European self-storage REIT with 333 stores concentrated in London, Randstad, Paris, Copenhagen, Stockholm, across Germany, and greater Brussels. The REIT owns 1.7 million square meters or roughly 17 million sqft of storage. The assets are located in high barrier to entry markets. We have conducted Google map checks and one can easily see that Shurgard's London portfolio is concentrated in the most dense inner ring where there is high barriers to entry and high difficulty to build new supply.



Good Upside

Unlike US REITs, European REIT provide an appraised value which is roughly 6.9 billion Euros verses the current 4.3 billion Euros that Shurgard trades at. One can argue the the 6.9 billion figure is too bullish and it should be perhaps 6.0 billion. Regardless, Shurgard currently trades at a very high discount to private market value which assets in dense urban London can trade for 5.0% cap rate and under.

If we take the EPRA Net tangible assets (NTA)/share of 53.64 at face value, Shurgard is worth 106% higher than the current trading price of 26 Euros. If we were to be skeptical and take a 20% haircut on the NTA, we arrive at a 42.91 NTA which still implies 65% upside. Remember, we are getting a 4.5% dividend while we wait. But there is more. The company is actively reinvesting the retained cashflow into new developments and acquisitions.

Valuation

Shurgard currently trades at the lowest NTM EV/EBITDA multiple in the past decade at 15.2 times and the highest dividend yield. NTM EV/EBITDA multiple was as high as 30.5x during the peak during 2021.

Multiples TIKR.com	12/31/15	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24	12/31/25	7/27/26
Forward Multiples												
NTM Total Enterprise Value / Revenues				10.58x	12.74x	13.06x	18.22x	13.24x	12.80x	10.10x	9.48x	8.93x
NTM Price / Sales (P/S)				8.32x	11.18x	11.14x	16.29x	11.15x	10.54x	8.17x	6.21x	5.47x
NTM Total Enterprise Value / EBITDA				18.11x	21.36x	22.07x	30.50x	21.67x	21.53x	16.80x	16.08x	15.23x
NTM Total Enterprise Value / EBIT				18.33x	21.89x	22.70x	30.99x	22.07x	21.81x	17.18x	16.33x	16.34x
NTM Price / Normalized Earnings (P/E)				19.24x	26.14x	26.44x	37.97x	25.82x	25.50x	19.62x	16.54x	14.96x
NTM Market Cap / Free Cash Flow				(1,627.69x)	138.75x	154.84x	237.02x	131.34x	1,632.29x	(12.83x)	227.52x	66.38x
NTM Levered Free Cash Flow Yield				(0.1%)	0.7%	0.6%	0.4%	0.8%	0.1%	(7.8%)	0.4%	1.5%
NTM Price / FFO Per Share				19.21x	26.65x	25.68x	38.97x	26.51x	25.46x	19.54x	16.43x	14.92x
NTM Price / AFFO Per Share				21.27x	29.06x	30.34x	49.15x	36.62x	38.34x	30.64x	25.04x	22.14x
NTM Dividend Yield				3.3%	3.1%	3.1%	2.1%	2.8%	2.6%	3.3%	4.0%	4.5%

In the past, Shurgard has historically traded as high as 2.3x book value and currently trades at 0.58x times book value. Again, ERPA provides a market appraisal unlike US REITs which does not provide an appraisal.

LTM Price / Book Value per Share

1.67x 1.61x 2.32x 1.39x 1.28x 0.93x 0.68x 0.58x

LTM Price / Tangible Book Value per Share

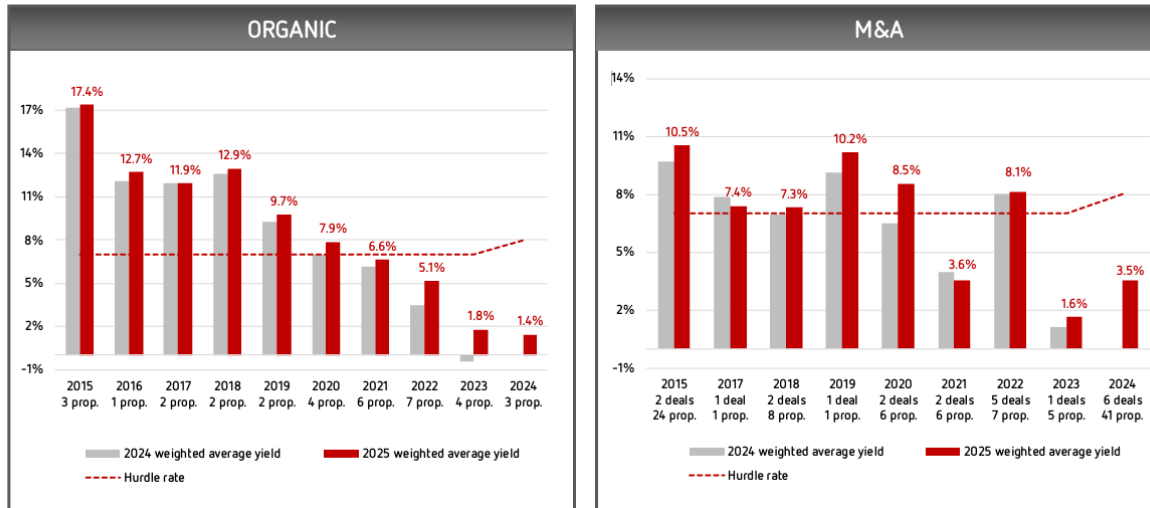
1.67x 1.61x 2.33x 1.39x 1.28x 0.93x 0.68x 0.58x

Return on Developments and Acquisitions

Self-storage in Europe is generally behind the US by 10-20 years. Per capita sqft is about 1/10 of that of the US and growing. The bull argument is that there is more room to grow per capita self storage in Europe than the US. The bear argument is that Europeans are generally not holders like Americans and have less disposable income. This dynamic makes for interesting organic growth opportunities. Some of the unlevered yields on development from 10 years ago are the highest of any self storage deals that I know of.

It generally takes 4 years to fully stabilize a new facility which is why the 2023 and 2024 yields remain low. It is also likely that the 23/24 vintages will not be as good as the vintage from a decade ago. Nonetheless, this remains an interesting opportunity for Shurgard.

OUR ABILITY TO GENERATE YIELD BOTH ON ORGANIC AND M&A



Fortress Balance Sheet/Well Laddered Debt Maturity/Ample Liquidity

Shurgard carries 1.57 billion Euros of debt with an average fixed cost of 3.23% and 8.1 years of average debt maturity. The assets are 100% unencumbered and there is 87 million of cash and 230 million of undrawn capacity. The nearest debt maturity is 2029 and the overall maturity is well laddered. Net debt is 6.2x EBITDA and EBITDA covers interest 4.4 times. Suffice to say, that the balance sheet is solid.

Faster Growth

For a high quality self storage REIT that trades at just over 15 times NTM EBITDA multiple, a 6-8% expected CAGR in revenue and EBITDA is rather high. This is a function of reinvesting excess cashflow into developments and acquisition. There is also a good amount of non-same store SS facilities that will continue to stabilize and increase their current yield from LSD to MSDs percent.

Medium-term guidance 2027-2030 (CER)	Metric	Low outcome	High outcome
Operational performance			
All stores Revenue growth	CAGR %	6%	8%
Underlying EBITDA growth	CAGR %	6%	8%
Adjusted EPRA earnings growth	CAGR %	6%	8%

Shurgard has 23 facilities scheduled to open in 2026, 13 in 2027 and 4 in 2028. In addition, there are still facilities that are not fully stabilized. In Q1 2026, Shurgard reported 114.6 million Euros of revenue while the same store revenue accounts for 100.9 million Euros. There is a good amount of stabilization in the coming quarters. Keep in mind that growth in NOI/EBITDA is not linear. As the facilities get filled up, incremental margins are very high.

High Barriers to Entry

A picture is worth a thousand words. This is Shurgard's London footprint. From a barrier to entry perspective, this is one of the best urban footprint of any publicly traded self storage REIT. To be fair, Big Yellow also has a very impressive London footprint.



Here is a picture of a Shurgard location right next tot he train station in London



Here is a Shurgard facility in Paris near Gare de l'Est the train station that serves eastern France and Germany

Typical store characteristics¹



Rentable size
c. 5,100 sqm

of units
c. 800 units

Average unit size
c. 6 sqm
(max. 25 sqm)

Elevated
c. 4 floors

Freehold² (% of sqm)
93%

Purpose built
65%

In capital and
major cities
95%

Average years of
operations
15 years

Bear, Base, Bull Case Outcomes

The key drivers in our assumption is EBITDA growth and the multiple of book value in year 3. We arrive at a conservative 10% CAGR if there is no expansion in multiple of book value. We find the opportunity attractive as even a base case where Shurgard continues to trade at 0.85x of book value would yield a three year IRR of 32.8%.

0	1	2	3
-26	1.17	1.17	32.13
Base Case IRR	10.2%		
Assumes 0.58x book value & 6% CAGR in EBITDA			

0	1	2	3
-26	1.17	1.25	57.19
Base Case IRR	32.8%		
Assumes 0.85x book value and 7% CAGR EBITDA			

0	1	2	3
-26	1.17	1.26	75.69
Base Case IRR	45.5%		
Assumes 1.1x book value and 8% CAGR EBITDA			

Conversation with Management

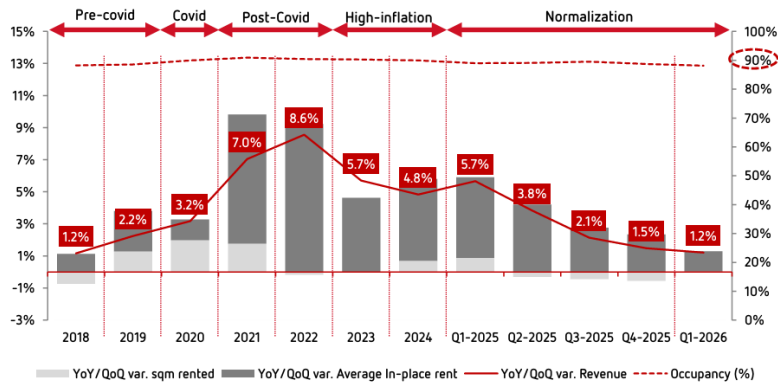
We spoke with management recently. They communicated clearly and concisely that the stock is undervalued. They are more likely buyers of the stock than issuer. They do not have large acquisition plans and are focused on the block and tackling of increasing occupancy and maximizing cashflow at the existing facilities.

Risk/Covid Hang Over

Like the US self storage market, the covid years was excellent for the industry as Shurgard grew same store revenue by 7.0% and 8.6% in 2021 and 2022 respectively. Same storage revenue growth has slowed to 1.2% as of Q1 2026. The deceleration is a normalization process. Shurgard also acquired Lok'nStore in a 613 million Euros deal in August of 2024. Investors have expressed concern over the 1.1 billion Euros portfolio expansion and current net debt/EBITDA metrics are 6.8x which is higher than the stated target of 5.0x. There has also been promotional pricing in the markets. We can see this in the meager same store revenue metrics reported by Shurgard.

CONFIRMED SAME STORE REVENUE GROWTH NORMALIZATION

Variances calculated on data at constant exchange rate
Changing same store pool



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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Potential Take Out By Public Storage

Public Storage owns 35% of Shurgard and NY State Common Retirement Fund owns another 34%. Public Storage recently bought National Storage Affiliate for around \$10 billion USD. Public Storage also bought Public Storage Canada on June 22nd in a cash-and-stock deal for \$1.2 billion USD. PSA already paid \$10 billion for NSA. Since PSA already own 35% of Shurgard, buying out Shurgard at a 20% discount to book value would require a 2.8 billion Euros which is certainly doable for a \$71 billion USD EV REIT. If NYS Common Retirement Fund decide to roll their interest, the check size would be even smaller. Given that PSA owns 1/3 of the company, this likely means that other suitors are not likely.

By comparison, PSA trades at NTM EV/EBITDA multiple of 19.7x. But it's the NTM EV/REV that really stands out at 14 times vs 8.9 times for Shurgard. Shurgard has a much larger G&A load of 10% of revenue vs that of 4.5% of revenue for PSA. A PSA acquisition could bring the SG&A load from 10% to 5% to 7% of revenue. The difference in EV/EBITDA multiple on a 27-29 perspective based on the SG&A rationalization, stabilization of Shurgards' developments and lease up facilities could be significantly wider than 19.7x vs 15.2x.

No Take Out

Even if there is no take out, the continued development, acquisitions, and stabilization of current pipeline will lead to robust growth in revenue and EBITDA. The market will likely re-rate the stock to near one times book value. We're also getting paid 4.5% dividend to wait.

Messages

Subject	Interesting but why is this your top pick?
Entry	07/29/2026 05:27 AM
Member	liverpoolstocks

Cheers for the writeup and it does seem that a lack of new London supply should help prices in that region.

Is there risk that they will get back into M&A and destroy the (already highly geared) balance sheet? Apart from PSA takeout possibility, why do you prefer SHUR to SAFE or BYG?

Subject	Re: Interesting but why is this your top pick?
Entry	07/29/2026 10:23 AM
Member	Rulon Gardner

I like SHUR and BYG. SAFE has too much ground lease for my liking.

BS isn't highly geared in absolute terms, but highly geared by public standards. From when we chat with them, they did not seem to be eager to do M&A. But this is also a newer management team that we have limited interaction with.

I think SHUR has the best optionality of "working on its own" due to its larger size vs that of BYG and SAFE. If sentiments change and investor want to own these assets again in Europe, I think SHUR has the best shot of trading over appraised book value.

Hope this helps.

Subject	Re: Re: Interesting but why is this your top pick?
Entry	07/29/2026 10:25 AM
Member	Rulon Gardner

FWIW, we own all three, BYG, SHUR and SAFE

But position size is in that order

Subject	Public Storage's interest?
Entry	07/30/2026 02:21 PM
Member	aa123

I asked AI how public storage ended up owning 35% of Shurgard and got the below response. In light of this history, what makes you think Public Storage would be interested to own the asset? They used to own it, sold majority to NYS retirement fund, then it IPOed. And why now? Thank you for the interesting write up.

Public Storage's 35% stake in Shurgard is the result of a series of transactions over nearly 20 years—not an open-market purchase.

Here's the history:

1. Public Storage bought all of Shurgard in 2006

In 2006, Public Storage acquired Shurgard Storage Centers, then a U.S.-listed company, in a transaction valued at approximately **\$5.0 billion** (enterprise value closer to \$5.5 billion including debt). Shurgard was attractive because it owned:

- a large U.S. self-storage portfolio, and
- **the leading self-storage business in continental Europe.**

2. Public Storage later separated the European business

After the acquisition, Public Storage reorganized the assets:

- It retained the U.S. storage assets within Public Storage.
- It placed the European operations into a separate company, Shurgard Europe.

3. In 2008, Public Storage sold a majority interest

Rather than owning all of the European business, Public Storage sold **51%** of Shurgard Europe to an institutional investor (the New York State Common Retirement Fund) while retaining **49%** and continuing to manage the venture.

4. Shurgard IPO in 2018

In 2018, Shurgard Self Storage SA listed on **Euronext Brussels** at **€23 per share**.

The IPO consisted primarily of existing shareholders selling stock, which reduced Public Storage's ownership from roughly **49% to about 35%**. Public Storage did not exit completely because it believed the European self-storage market still had substantial long-term growth potential.

5. Today

As of mid-2026:

- **Public Storage owns approximately 35.1% of Shurgard.**
- The **New York State Common Retirement Fund** (through affiliates) owns approximately **34.1%**.
- The two shareholders have an **agreement to act in concert**, effectively controlling about **69%** of the company.

Why didn't Public Storage keep 100%?

There are several likely reasons:

- **Unlock value.** A separately listed European company could receive its own valuation, potentially higher than if buried inside a U.S. REIT.
- **Raise capital.** Selling stakes monetized part of the investment while maintaining significant exposure.
- **Local investor base.** A European listing gave Shurgard access to European capital markets and investors.
- **Operational independence.** Management could focus exclusively on European expansion while Public Storage benefited through its ownership stake.

The strategy has worked well. Since the IPO, Shurgard has grown substantially, expanding from roughly **229 stores at listing** to **more than 330 stores today**, including the acquisition of **Lok'nStore** in the UK, while Public Storage has continued to participate in that value creation through its 35% ownership.

Subject
Entry
Member

Re: Public Storage's interest?
07/30/2026 04:15 PM
Rulon Gardner

Pretty good summary by AI and exactly what it should be used for. Kudos.

I am not saying that PSA will definitely buy Shurgard. But here are some reasons why.

- 1) It's trading at the cheapest valuation in the past 10 years. You can see that it used to trade at over 2.0x book value and now it trades at 0.58x. Even if they paid 0.8x times, it is likely still a good bargain for PSA as it is now very large and need to look for ways to grow. This moves the needle.
- 2) We're in a very M&A active environment. We've had 7 REITs get taken private in the past 2.5 years (ironically none of which I wrote up). This includes ROIC ALEX WSR MDV VRE PLYA DRR.UN ELME CSR could have been 2 more. I guess NSA is another one of ours and it was taken over by PSA. But our position in NSA was quite small, so we don't count it. These are just names in my portfolio in the past 2 years. We are in a hyper active era in REIT M&A. Just pointing out the kind of environment we're in. And I believe we're in this hyper active environment because valuations are so attractive.
- 3) PSA's recent M&A of NSA and PSA Canada made me think that they could be interested in consolidating other targets
- 4) I can understand why they wanted to focus on the US in the past. Post GFC, there was so much to do in the US. It was essentially a blank canvass for roll ups financed with cheap cost of equity.
- 5) Large delta in cost of equity. REIT M&A is all about using cheap equity to buy in an accretive manner. I think Shurgard is cheap enough in a standalone private RE manner. But it helps a lot of that PSA trades at much higher EBITDA multiple with opportunity to reduce overall SG&A load as a % of revenue
- 6) NYS Common Retirement Fund could actually benefit from a mark-to-market if they were to buy at 0.8x book value and generate a win. Weird, but that's the quirky accounting dynamic.

These are some thoughts that comes to mind. Also important to point out that I bought ROIC WSR and ALEX simply because I like the assets and I thought they were run by competent people. I was looking forward to owning them for a few years. But they all got bought out. I tend to like high quality REITs trading at discounts. I guess Blackstone and Ares like them as well.

Subject	Re: Re: Public Storage's interest?
Entry	07/30/2026 09:56 PM
Member	blaueskobalt

I can provide some history.

When PSA originally bought Shurgard (over 20 years ago), the plan was to flip the European portion via IPO. They couldn't get the IPO to work (it was a different world back then), so they ultimately deconsolidated the European business via partial sale to NY Common at a price that was then at a LARGE premium to NAV. Then came the GFC, and the half-dozen years post-GFC was nirvana for US self-storage: the crisis wiped out all developers, and PSA/EXR/etc. had half a decade of mid-to-high-single digit same store revenue growth, while Europe had a much slower recovery (due to lower market maturity). The US self storage supply pipeline started to rebuild in the mid-2010s, and, by 2018, PSA had lost its massive premium valuation and was trading at an NAV discount (there is a VIC short pitch on storage peer CUBE from this time discussing the environment in the US).

Yet, European storage REITs BYG & SAFE had recovered and were trading at massive NAV premiums in the late 2010s, so the logic behind the Shurgard IPO was to give that entity of a cost of capital to grow while the US parent was sidelined. I have also been told that they needed to make good on some long-overdue liquidity promises they had made to NY Common.

Fast forward another decade, and the situation has flipped, again. The US REITs are recovering from their post-GHC bust, while global peers are lagging. As a result, ex-US DM storage businesses are being HOOVERED UP: Carlyle & TIAA/Nuveen have both rolled up platforms in Europe; Shurgard itself bought several portfolios in the past 24 months; QuadReal bought MapleLeaf; Brookfield bought Montreal Mini; Temasek is buying Access UK; PSA is buying PS-Canada; Brookfield bought NSR (Australia); and there have been two prominent failed deals, where the Boards have gotten greedy (BYG/BX and SKG/PSA).

Returning to Shurgard, its life as a public company has been a glaring failure. During the 5+ years in which their stock traded at a (often massive) premium, they raised equity only once, handicapping their growth, and keeping their liquidity at a level that excludes most large investors. They topped-ticked the market on a couple of portfolio acquisitions, and management put out medium-term guidance they they had to retract a year later. At this point, Shurgard probably needs to move on from Marc, and it would be easier to do this outside of the public markets. Shurgard is a true gem (#1 share leader in Europe), and there are at least a dozen entities that would JUMP at the chance to buy it.

On the other side, PSA just bought a platform in Canada, and they have tried to buy all three largest platforms in Australia. They are desperate to put capital to work, and levered returns in Europe are higher than in the US. There are two barriers to a deal, as I see it. First, NY Common needs to decide what it wants to do (and it is a bureaucratic morass). Second, the overstated NAV could make it difficult for the Board to accept a fair offer (fair value is in the EUR 40s per share, not the 50s). All that said, I think the odds of an accepted PSA bid, north of 40, in the next 12 months is >50%.

Subject	Re: Re: Re: Public Storage's interest?
Entry	07/31/2026 12:39 AM
Member	Rulon Gardner

Excellent summary of the situation and history

Subject	Re: Re: Re: Public Storage's interest?
Entry	07/31/2026 12:20 PM
Member	aa123

thank you Rulon and blaueskobalt for these insights. you guys clearly know the history and the industry. you said that shurgard is a gem and there would be a lot of interest from buyers. do you feel the same way about BYG? Thank you.

Subject	Re: Re: Re: Re: Public Storage's interest?
Entry	07/31/2026 02:02 PM
Member	blaueskobalt
Yes	

If I were PE or EXR/PSA, I would prefer to buy SHUR because it offers scaled entry into more markets =a broader future growth opportunity. However, it is generally faster to lease up a new facility in the UK versus the continent because penetration & product awareness are higher. I also know at least one investor who prefers BYG for its concentrated London exposure.